

According to experts, it is always advisable to start the planning early, as this will ensure that everything is in order when the time comes. “To create a legacy without taking unnecessary burden, it is always good to start as early as possible in your life on the plan,” says Anil Rego, Founder and Fund Manager at Right Horizons, a portfolio management services firm.

Starting early is good; however, selecting the right investment instrument for a duration of 20-25 years presents a significant challenge: whether one should invest in real estate and buy bonds (government securities) or choose contemporary investment options like mutual funds (MFs) and equities over fixed deposits (FDs), to grow wealth faster, ultimately allowing for a larger inheritance.

While FDs offer stability and guaranteed returns, they may not be effective in combating inflation over the long term. Direct investments in stocks have the potential to provide higher returns, but they also carry a greater level of risk. Market fluctuations may result in substantial losses, potentially putting your legacy at risk. Bonds, on the other hand, can offer a mix of stability and growth, but their returns may fluctuate.

After extensive discussions and careful consideration of various options and aspects of financial planning, the final questions for the Pandeys were whether to choose real estate, MFs, or both for their legacy planning.

REAL ESTATE VS MFs

Both real estate and MFs are among the most attractive options for long-term investments and have their advantages and disadvantages.

Property is a tangible asset that offers a sense of security—a place to call home. Its value generally appreciates over time and it can also generate a steady stream of rental income. But it entails a substantial initial expense. Additionally, managing property can be both time-consuming and expensive. Also, selling it could be a lengthy process, making it an illiquid investment. Moreover, the location of the property may not be suitable for your child’s future requirements.

“Each asset class has its advantages and disadvantages,” says Amol Joshi, Founder of Plan Rupee, an investment services firm. “There is a need for a high initial investment in property. It is not very liquid and

REAL ESTATE VS MFs

- Mutual funds have delivered better returns compared to real estate
- Given the long duration, equity MFs have the potential to yield superior returns than real estate

	Jan 2017	Dec 2023	Annualised growth	Adjusted growth
Housing Price Index	100	131.6	4%	9%
ICICI Bluechip Fund	100	288.43	16%	16%
HDFC Midcap Opportunities Fund	100	348.28	20%	20%
Nippon Smallcap Fund	100	473.13	25%	25%

NOTE THE ANNUAL RENTAL YIELD OF 5% HAS BEEN ADDED TO GET ADJUSTED GROWTH, WHICH IS THE AGGREGATE INDEX LEVEL ACROSS ALL CITIES. HENCE, THE ADJUSTED GROWTH MAY CHANGE ACCORDING TO THE SPECIFIC CITY CONSIDERED

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requires regular expenses for maintenance. On the plus side, you will not have to watch prices daily and will hold for the long term,” he adds.

On the other hand, investing in MFs (through systematic investment plans or SIPs) requires less upfront investment, and is easy to liquidate in times of need. Funds can be diversified and potentially generate higher returns than real estate in the long term.

Adhil Shetty, CEO of financial marketplace Bankbazaar.com, says it is easier to create wealth through MFs when you are starting from zero. “You can begin with just ₹500 per month and your investment is usually fully liquid.” The three tools—SIP, STP (systematic transfer plan), and SWP (systematic withdrawal plan)—facilitate the process of investing, moving around, and withdrawing your funds with ease. “The average long-term returns are also significantly higher for MFs,” he adds.

However, the value of the investment can fluctuate, as returns are market-linked and historical performance is no assurance of future outcomes. And, you have no direct control over the individual securities in the fund’s portfolio, he says. Moreover, when it comes to ensuring legacy, you must understand there is no physical asset ownership while investing in MFs, even though it can help you build a substantial portfolio.